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SERIES: BANK

Bank of America

Bank of America Corporation

NYSE: BAC · United States · Financials / Banks, Diversified

\$56.70

Closing price, 25 September 2026



Executive Summary

Bank of America Corporation is the second largest bank holding company in the United States by market capitalization, operating a universal banking model across consumer banking, wealth management, corporate banking and global markets. The report below sets out the business, its financial condition, its competitive standing and the assumptions embedded in its current share price.

Business

Bank of America is a diversified financial holding company organized around four reportable segments: Consumer Banking, Global Wealth and Investment Management, Global Banking and Global Markets. (Sourced: Bank of America 2025 Form 10-K.)

The bank serves individual consumers, small and middle-market businesses, large corporations, institutional investors and governments, primarily in the United States, with an institutional and markets presence extending across Europe, Asia-Pacific and Latin America. (Sourced: Bank of America 2025 Form 10-K.)

Financial Condition

Full-year 2025 revenue, net of interest expense, was 107.42 billion dollars, up 7.4 percent year over year, with net income of 29.06 billion dollars, up 14.6 percent. Diluted earnings per share were 3.81 dollars. (Sourced: StockAnalysis.com financial statements, consistent with company-reported figures.)

For the second quarter of 2026, the most recent reported quarter at the report date, net income was 9.1 billion dollars, up 27 percent year over year, with return on average tangible common equity of 17.0 percent and a common equity tier 1 capital ratio of 11.2 percent under the standardized approach. (Sourced: Bank of America second quarter 2026 earnings release, Form 8-K exhibit 99.1.)

Market Position

Bank of America's principal competitors are JPMorgan Chase, Wells Fargo, Citigroup, Morgan Stanley and Goldman Sachs. Bank of America ranks second among United States banks by market capitalization, behind JPMorgan Chase, and ahead of Wells Fargo and Citigroup. (Sourced: The Motley Fool, largest financial companies by market capitalization, September 2026.)

Its principal competitive advantage is the scale and low cost of its retail deposit franchise, averaging approximately 2.02 trillion dollars in the second quarter of 2026. Its principal competitive weakness is a return on equity that continues to trail JPMorgan Chase, reflecting a heavier consumer and middle-market mix and a smaller trading and investment banking franchise relative to the largest peer. (Reasoned, based on segment and peer data below.)

Valuation

At the report date, Bank of America's market capitalization was approximately 396.5 billion dollars, trading at 13.1 times trailing earnings, 11.5 times forward consensus earnings, and approximately 1.93 times second-quarter 2026 tangible book value per share of 29.37 dollars. The dividend yield was 2.26 percent following a 14 percent dividend increase declared in July 2026. (Sourced: StockAnalysis.com; Bank of America second quarter 2026 earnings release; dividend increase calculated by the analyst from the 0.28 to 0.32 dollar per share change.)

Investment Framework

What is attractive. Return on tangible common equity has risen from the high single digits in 2023 and 2024 to 17.0 percent in the second quarter of 2026, driven by record trading and investment banking fee growth and continued expense discipline that lowered the efficiency ratio to 59 percent.

What is concerning. Net interest margin, at 2.08 percent in the second quarter of 2026, remains structurally below several peers, period-end loan growth was modest at roughly 1 percent, and the shares have fallen approximately 13 percent from their mid-August 2026 high.

What appears to be priced in. At 1.93 times tangible book value against a 17.0 percent quarterly annualized return on tangible common equity, the market appears to be pricing continued, but not dramatic, improvement in profitability, well short of the returns commanded by the highest-return money-center peer. (Reasoned.)

What must go right. Fee income momentum in trading and investment banking needs to persist to offset a slower-growing net interest income base, while expense discipline must be sustained to keep operating leverage positive.

What could break the thesis. A turn in the credit cycle from currently low net charge-offs of 0.47 percent, a faster-than-expected compression in net interest margin as the Federal Reserve eases policy rates, or an increase in required regulatory capital.

Investment Profile

Business quality	Diversified universal bank with a leading low-cost deposit franchise; second-tier profitability versus the largest peer
Financial quality	Improving; profitability and efficiency have strengthened for six consecutive quarters into mid-2026
Competitive position	Top-two United States bank by scale; below top-tier on returns and capital markets share
Growth profile	Moderate; fee income growing faster than net interest income in the current cycle
Balance-sheet risk	Low to moderate; well-capitalized with stable, investment-grade credit ratings
Valuation	Reasonable; trades at a discount to the highest-return peer on both earnings and book value multiples
Market and technical profile	Weakened over September 2026, trading below its August highs and testing short-term support

A. About the Business

A1. Business Environment

Bank of America operates in the United States commercial and universal banking industry, an industry whose economics are built on three interlinked activities: gathering low-cost deposits and other funding, extending credit and managing the resulting interest-rate and credit risk, and generating fee income from payments, wealth management, underwriting and trading. Value is created where a bank can fund itself more cheaply than it deploys capital, price credit and market risk correctly through a cycle, and cross-sell fee-generating services to a large customer base at low marginal cost. (Reasoned, based on standard bank economics.)

The industry is heavily regulated and dominated by a small number of large, complex, globally systemic banks alongside thousands of smaller regional and community banks; Bank of America, JPMorgan Chase, Citigroup, Wells Fargo, Goldman Sachs and Morgan Stanley are the United States institutions designated as globally systemically important banks. (Reasoned, based on published Financial Stability Board globally systemically important bank designations.)

Industry economics are capital intensive: banks must hold regulatory capital, chiefly common equity tier 1 capital, against risk-weighted assets, which caps balance-sheet leverage and directly constrains return on equity relative to non-financial industries. The industry is highly cyclical, with earnings sensitive to the level and shape of interest rates, credit losses through the economic cycle, and capital markets activity. It is also undergoing a structural shift toward digital distribution and automation of underwriting, servicing and customer interaction, which is gradually lowering the cost-to-serve for scaled incumbents relative to smaller competitors. (Reasoned.)

The industry's current stage is best described as mature and consolidating, with periodic bouts of stress, such as the March 2023 regional bank deposit outflows, that have pushed additional deposit share toward the largest, best-capitalized institutions, of which Bank of America is one. (Reasoned.)

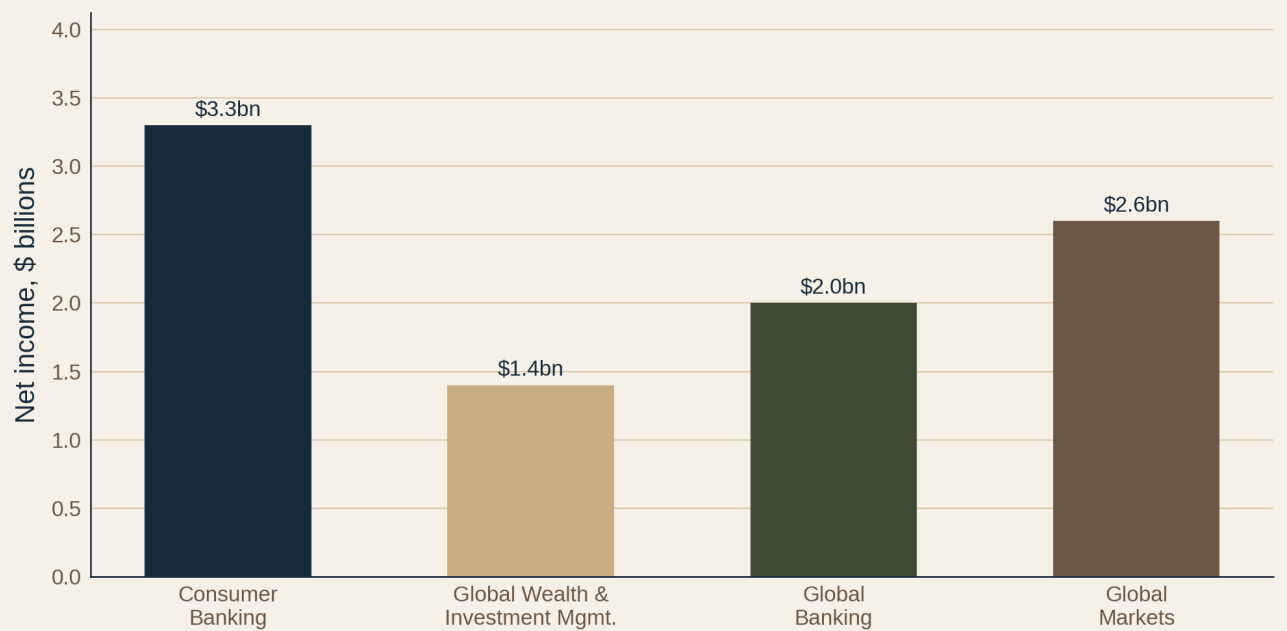
A2. What Does the Company Do?

Bank of America's Consumer Banking segment offers deposit accounts, credit and debit cards, and residential mortgage and home equity lending to individual consumers and small businesses through roughly 3,700 financial centers and a large digital and mobile banking platform, as of the most recently available branch count. (Sourced: Wikipedia, citing 2024 company disclosure; branch count should be treated as approximate at the report date.)

Global Wealth and Investment Management provides investment advice, brokerage, banking and trust services to individuals and institutions, principally through the Merrill and Bank of America Private Bank brands. Global Banking provides lending, treasury management, and capital-raising and advisory services to corporate, commercial and institutional clients. Global Markets provides sales and trading in equity and fixed-income, currency and commodity products, together with research, to institutional clients, chiefly under the BofA Securities brand. (Sourced: Bank of America 2025 Form 10-K segment description.)

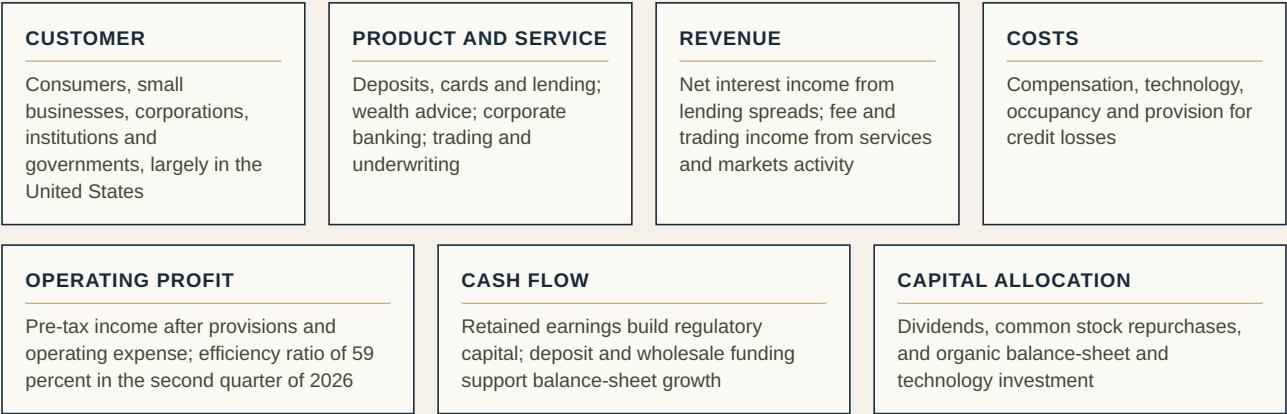
In the second quarter of 2026, segment net income was approximately 3.3 billion dollars in Consumer Banking, 1.4 billion dollars in Global Wealth and Investment Management, 2.0 billion dollars in Global Banking and 2.6 billion dollars in Global Markets, implying a mix of roughly 36 percent, 15 percent, 21 percent and 28 percent of segment-level net income respectively. (Sourced: Bank of America second quarter 2026 earnings release; mix percentages calculated by the analyst.)

Segment net income, second quarter 2026



Source: Bank of America second quarter 2026 earnings release, Form 8-K exhibit 99.1.

The operating model can be read as a flow from customer relationships to earnings and, ultimately, to capital returned to shareholders:



The most economically important part of the model is the deposit franchise itself: a large base of low-cost, granular consumer and commercial deposits allows Bank of America to fund a 1.22 trillion dollar average loan book and a substantial trading inventory more cheaply than a wholesale-funded competitor, which is the foundation of the entire earnings model. (Reasoned.)

A3. Business and Relationship Network

Bank of America's ecosystem includes payment network partners such as Visa and Mastercard, whose rails carry the bank's card transaction volumes; core technology and data infrastructure providers that support its digital banking platform; and correspondent and custodial relationships that support its Global Markets and Global Wealth and Investment Management businesses. As a diversified deposit-taking institution, the bank does not disclose material concentration in any single commercial customer or supplier, which is itself a structural characteristic of the business and a source of stability. (Reasoned.)

Its principal consumer-facing brand is Bank of America; its wealth management businesses operate primarily under the Merrill and Bank of America Private Bank brands; its institutional securities business operates under BofA Securities. The corporation is regulated primarily by the Federal Reserve, the Office of the Comptroller of the Currency and the Federal Deposit Insurance Corporation, whose oversight functions as a standing constraint on capital distribution and risk appetite. (Sourced: Bank of America 2025 Form 10-K, regulation and supervision disclosures.)

A4. Competition

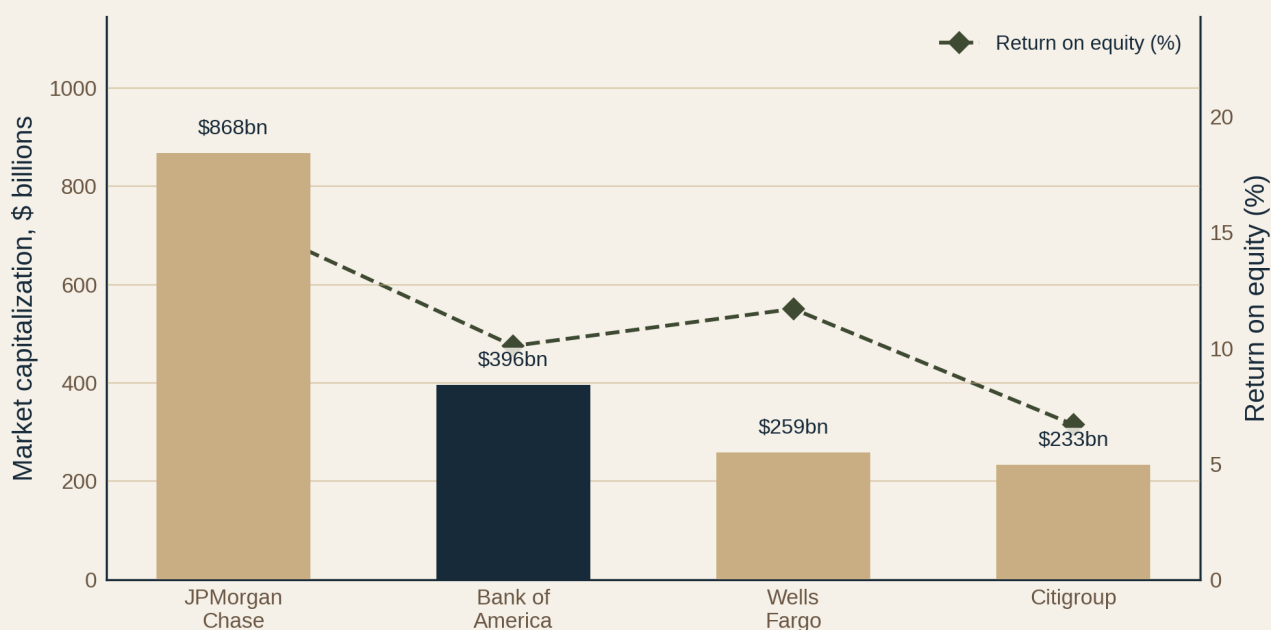
Bank of America's most relevant direct competitors are the other large, diversified United States bank holding companies: JPMorgan Chase, Citigroup and Wells Fargo compete directly across consumer and commercial banking, while Goldman Sachs and Morgan Stanley compete primarily in wealth management, investment banking and trading rather than mass-market retail banking. Indirect and substitute competition comes from regional banks such as U.S. Bancorp and PNC Financial Services in retail and commercial banking, and from non-bank fintech and payments companies in consumer payments and lending. (Reasoned, based on publicly known business mix of each institution.)

PEER COMPARISON, MOST RECENTLY AVAILABLE REPORTED FIGURES

Institution	Market cap (\$bn)	P/E (x)	Return on equity (%)	Net margin (%)
JPMorgan Chase	868	15.2	15.7	31.3
Bank of America	396	13.1	10.1	27.0
Wells Fargo	259	12.1	11.7	25.5
Citigroup	233	16.3	6.7	16.8

Source: fffinstill, comparative bank metrics; market capitalization cross-checked against The Motley Fool, largest financial companies by market capitalization, September 2026. Figures are drawn from different publication dates within September 2026 and should be read as approximate.

Peer market capitalization and return on equity



Source: fffinstill comparative bank metrics; The Motley Fool, largest financial companies by market capitalization, September 2026.

Competitor summaries

JPMorgan Chase. The largest United States bank by assets and market capitalization, with a broader and higher-returning trading and investment banking franchise than Bank of America. Its scale advantage in technology spending and capital markets is the single most important reason it commands a higher return on equity. (Reasoned.)

Wells Fargo. A large, primarily domestic consumer and commercial bank of comparable retail scale to Bank of America, historically constrained by a regulatory asset cap that has since been lifted, and now competing more directly for consumer deposit and lending share. (Reasoned, based on widely reported regulatory history.)

Citigroup. A global bank with a larger international consumer and institutional footprint than Bank of America, but with materially lower profitability, reflected in a return on equity of roughly 6.7 percent against Bank of America's 10.1 percent. (Sourced: fffinstill comparative bank metrics.)

Morgan Stanley and Goldman Sachs. Narrower, higher fee-income-weighted franchises focused on wealth management, investment banking and trading, with little direct retail deposit competition with Bank of America, but direct competition for institutional trading, underwriting and wealth-management client assets. (Reasoned.)

A5. Competitive Differences

Advantages. Scale of the retail deposit base, which lowers funding cost; a broad multi-segment model that diversifies revenue across interest income, wealth fees and capital-markets fees; and an investment-grade credit rating structure, rated A1 by Moody's, A- by Standard and Poor's and AA- by Fitch, all with a stable outlook, which supports low-cost wholesale funding. (Sourced: Bank of America investor relations, credit ratings page.)

Disadvantages. A structurally lower net interest margin and return on equity than the top-performing peer, reflecting a larger proportion of lower-yielding, lower-risk consumer and commercial lending and a smaller trading book; and a large, cost-intensive physical branch network relative to digital-only or thinner-branch competitors. (Reasoned.)

The moat is best described as moderate: the deposit franchise and multi-decade brand recognition are durable, structural advantages, but they do not by themselves produce returns superior to the best-positioned peers, and the business remains exposed to commoditized pricing on plain deposit and lending products. (Reasoned.)

A6. Industry Trend

United States banking is in a mature phase, with growth driven less by industry-wide credit expansion than by market-share shifts toward the largest, best-capitalized institutions, and by fee income growth in wealth management and capital markets activity, both of which grew strongly for Bank of America in the second quarter of 2026, with investment banking fees up 50 percent and equity trading revenue up 70 percent year over year. (Sourced: Bank of America second quarter 2026 earnings release; Macrostream, Q2 2026 review.)

The structural trend toward digital banking and automated underwriting continues to lower the cost-to-serve for scaled banks, evidenced by Bank of America's improving efficiency ratio. A cyclical, rather than structural, driver in 2026 has been the path of Federal Reserve policy rates, which affects net interest margin, and a resurgence in capital markets activity, which has lifted trading and investment banking fee income across the large-bank group in 2026. (Reasoned.)

This favorable capital-markets cycle could reverse if market volatility and corporate transaction activity slow, which would disproportionately affect the fee-income growth that has driven Bank of America's recent earnings improvement. (Reasoned.)

A7. Management

Brian Moynihan has served as Chair and Chief Executive Officer since 2010, giving Bank of America unusually long-tenured leadership continuity among large United States banks. Alastair Borthwick serves as Chief Financial Officer and has recently been given expanded responsibilities, including oversight of the bank's global real estate portfolio, while continuing in the CFO role. (Sourced: Bank of America newsroom executive biography; Banking Dive, succession reporting.)

In 2026, Bank of America named Dean Athanasia, head of regional banking, and Jim DeMare, head of Global Markets, as co-presidents with overall responsibility for the bank's business lines, a structure widely read by industry press as establishing an internal succession field for the chief executive role, alongside Borthwick, whose high investor visibility as chief financial officer also positions him as a potential candidate. Moynihan has indicated an intention to remain in his role through the end of the decade, and analysts covering the stock note that a formal succession announcement could still be some years away. (Sourced: Banking Dive, "Bank of America sets up post-Moynihan succession race".)

On capital allocation, management has increased the quarterly common dividend twice in the twelve months to the report date, from 0.28 to 0.32 dollars per share, a 14 percent increase, and authorized a 40 billion dollar share repurchase program in 2025, of which a further 6 billion dollars was repurchased in the second quarter of 2026 alone. Combined dividends and repurchases in fiscal 2025 totaled approximately 31.0 billion dollars against net income of 29.1 billion dollars, indicating a capital return policy that, in that year, exceeded reported earnings, funded in part through balance-sheet and capital-ratio management rather than retained earnings alone. (Sourced: Bank of America newsroom press releases; Morningstar and PR Newswire dividend release; totals calculated by the analyst from reported dividend and repurchase figures.)

This capital return record, together with a stable-outlook investment-grade rating across all three major agencies, suggests a management team broadly aligned with shareholder interests on the distribution of excess capital, while the pace of the recent dividend increase and buyback acceleration also signals management's own confidence in the durability of the 2026 earnings improvement. (Reasoned.)

B. Evaluation

B1. Financial and Operating Metrics

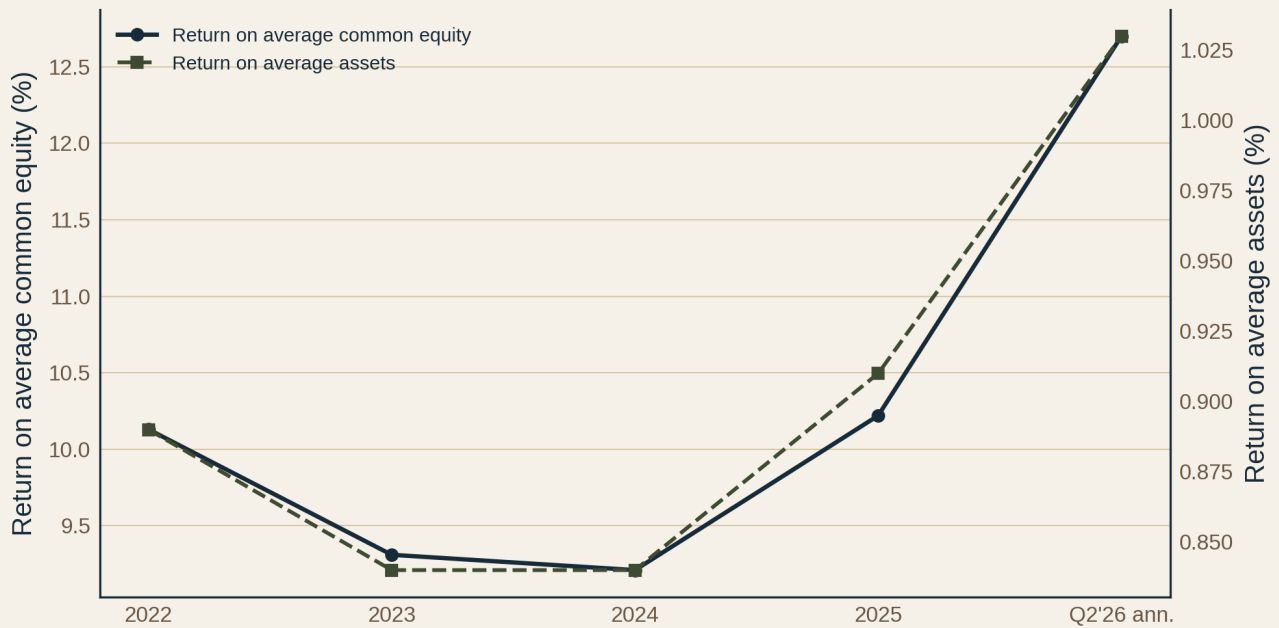
For a bank holding company, conventional non-financial metrics such as gross margin, asset turnover or free cash flow yield are not economically meaningful, because a bank's inventory is financial risk rather than physical goods, and its reported operating cash flow is distorted by the classification of loans and trading assets within GAAP cash flow statements. The metrics below instead follow standard bank analysis practice: profitability relative to equity and assets, efficiency, capital adequacy, and credit quality. (Reasoned, consistent with the instruction to avoid metrics that are not economically meaningful for the company under analysis.)

PROFITABILITY AND EFFICIENCY, FISCAL YEARS 2021 TO 2025 AND SECOND QUARTER 2026 ANNUALIZED

Metric	2021	2022	2023	2024	2025	Q2 2026
Return on average common equity	N/A	10.13%	9.31%	9.21%	10.22%	12.7%
Return on average tangible common equity	Not Retrieved	Not Retrieved	Not Retrieved	Not Retrieved	Not Retrieved	17.0%
Return on average assets	N/A	0.89%	0.84%	0.84%	0.91%	1.03%
Net margin	32.6%	28.2%	25.1%	25.3%	27.1%	Not Retrieved
Efficiency ratio	Not Retrieved	Not Retrieved	Not Retrieved	Not Retrieved	Not Retrieved	59.0%

Source: StockAnalysis.com financial ratios and income statement data; Bank of America second quarter 2026 earnings release for return on average tangible common equity and efficiency ratio, which the company does not restate on the comparable basis in third-party aggregated data. 2021 return figures marked not applicable were not available on a comparable basis from the sourced dataset.

Return on average common equity and return on average assets



Source: StockAnalysis.com financial ratios; second quarter 2026 figures from Bank of America earnings release, annualized basis as reported by the company.

Profitability troughed in 2023 and 2024, when return on average common equity held near 9.2 to 9.3 percent, before recovering to 10.2 percent for full-year 2025 and 12.7 percent in the second quarter of 2026, with the tangible measure at 17.0 percent, as fee income from trading and investment banking recovered sharply and expense growth was held below revenue growth, producing positive operating leverage. (Reasoned, drawing on the sourced figures above.)

Leverage and liquidity are best read through regulatory capital rather than a debt-to-EBITDA style ratio, which is not meaningful for a deposit-funded institution: the common equity tier 1 ratio stood at 11.2 percent under the standardized approach in the second quarter of 2026, and average loans of 1.22 trillion dollars represented approximately 60 percent of average deposits of 2.02 trillion dollars, indicating a balance sheet funded predominantly by customer deposits rather than wholesale borrowing. (Sourced: Bank of America second quarter 2026 earnings release; loan-to-deposit ratio calculated by the analyst.)

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Principal risk	Probability and impact
Financial	Net interest margin compression as the Federal Reserve lowers policy rates faster than deposit costs can be repriced down	Moderate probability, high impact
Competitive	Continued gap in return on equity and trading scale versus JPMorgan Chase, limiting relative valuation upside	High probability, moderate impact
Macro	A credit-cycle downturn that lifts net charge-offs from the current low base of 0.47 percent	Moderate probability, high impact
Regulatory	An increase in required regulatory capital, for example through a revised Basel III endgame capital rule	Moderate probability, moderate impact

Category	Principal risk	Probability and impact
Technological	Cybersecurity incidents or the cost of continued technology and artificial-intelligence investment eroding the efficiency gains achieved to date	Low to moderate probability, moderate impact
Business	Key-person and succession risk around a chief executive transition after more than fifteen years under the current leadership	Low near-term probability, moderate impact

Probability and impact assessments are the analyst's own judgment (Reasoned), informed by the sourced financial and governance data presented elsewhere in this report.

The three risks most capable of permanently impairing shareholder value are, in order: a severe credit-cycle downturn that outpaces current reserve levels; a structural, multi-year compression in net interest margin driven by monetary policy that the bank cannot offset with fee income growth; and a material, unanticipated increase in required regulatory capital that would force a sustained reduction in capital returned to shareholders. (Reasoned.)

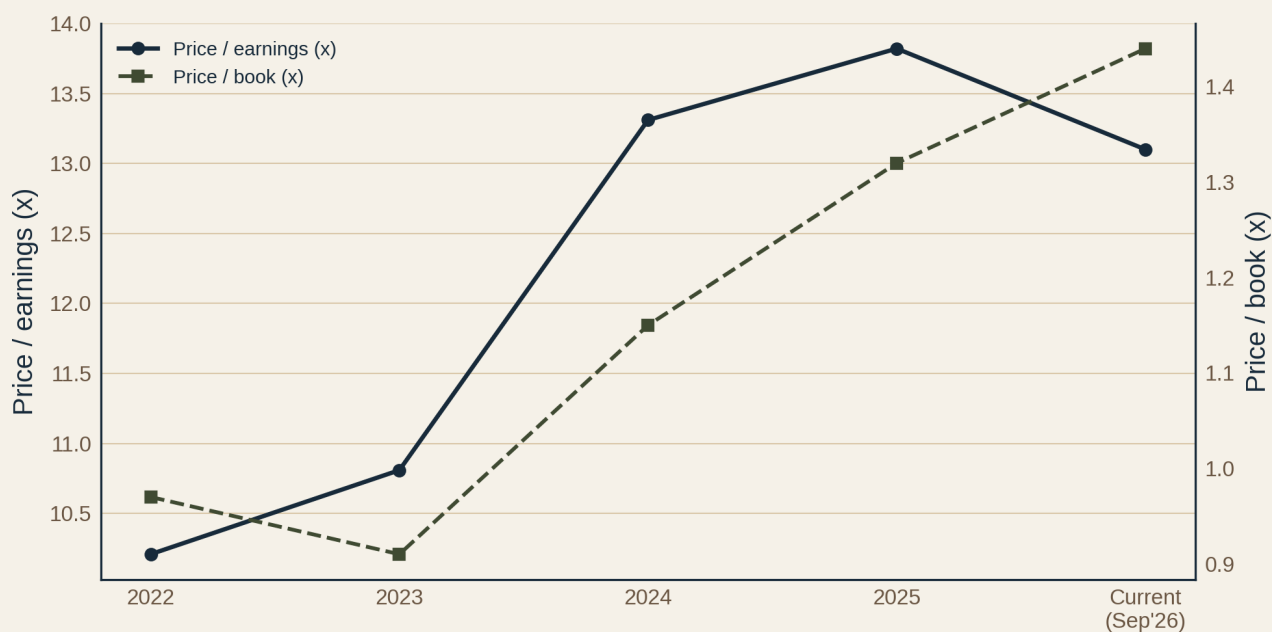
B3. Valuation

VALUATION MULTIPLES, FISCAL YEARS 2022 TO 2025 AND CURRENT

Metric	2022	2023	2024	2025	Current (Sep 2026)
Price / earnings (x)	10.21	10.81	13.31	13.82	13.10
Price / book (x)	0.97	0.91	1.15	1.32	1.44
Price / sales (x)	2.88	2.71	3.37	3.74	3.48
Dividend yield	2.85%	2.91%	2.37%	1.99%	2.26%

Source: StockAnalysis.com financial ratios.

Valuation multiples, price / earnings and price / book



Source: StockAnalysis.com financial ratios.

Bank of America trades at 13.1 times trailing and 11.5 times forward consensus earnings, and at 1.44 times reported book value, or approximately 1.93 times second-quarter 2026 tangible book value per share of 29.37 dollars. On the standard bank framework that a sustainable price-to-tangible-book multiple should approximate the ratio of return on tangible common equity to the cost of equity, a 17.0 percent quarterly annualized return on tangible common equity against an estimated cost of equity in the region of 10 to 11 percent would support a tangible book multiple noticeably above 1.93 times if that level of profitability proves durable; the current multiple therefore appears to assume only partial durability of the second-quarter 2026 profitability improvement, or a higher market-assumed cost of equity than the range used here. (Reasoned; cost of equity is an analyst estimate, not a reported figure.)

Against JPMorgan Chase, which trades at 15.2 times trailing earnings and delivers a 15.7 percent return on equity against Bank of America's 10.1 percent, Bank of America screens as cheaper on an absolute earnings multiple but not clearly cheaper once the return-on-equity gap is taken into account; the discount is broadly consistent with, rather than obviously more attractive than, the profitability gap between the two institutions. (Reasoned, based on the peer table in section A4.)

The current valuation appears to embed reasonable, rather than optimistic, expectations: it does not require net interest margin expansion, but it does require the second-quarter 2026 fee-income strength in trading and investment banking to persist at a level well above the 2023 to 2024 run rate, and it requires credit costs to remain near current low levels. Should trading and investment banking activity normalize toward the more moderate levels seen in 2023 and 2024, the current multiple would look less conservative. (Reasoned.)

B4. Capital Market and Stock Analysis

PRICE HISTORY AND TRADING STATISTICS AT THE REPORT DATE

Metric	Value
Closing price, 25 September 2026	\$56.70
52-week range	\$46.12 to \$65.23
Approximate decline from 12 August 2026 closing high of \$64.81	-12.5%
Beta	1.16
Average daily volume	28.6 million shares
Shares outstanding	6.99 billion
Analyst consensus (24 analysts)	Buy, average price target \$68.62

Source: StockAnalysis.com company overview and price history. Decline from August high calculated by the analyst.

Over the period sourced for this report, from 17 July to 25 September 2026, Bank of America shares rose from 61.27 dollars to a closing high of 64.81 dollars on 12 August 2026, coinciding with the second-quarter earnings release, before declining steadily through September to close at 56.70 dollars on 25 September 2026, a decline of approximately 12.5 percent from the August high, and a decline of roughly 8 percent from the 61.27 dollar level at the start of the sourced window. The most pronounced single move in the sourced window was a decline from 62.69 dollars on 11 September to 59.47 dollars on 14 September 2026. (Sourced: StockAnalysis.com price history; calculations by the analyst.)

With a beta of 1.16, the stock is modestly more volatile than the broad market, consistent with a large-cap bank whose earnings are geared to the interest-rate and credit cycle. The stock's 52-week range of 46.12 to 65.23 dollars spans a 41 percent band, and the report-date price of 56.70 dollars sits in the upper half of that range despite the recent pullback, reflecting the broader 2025 to 2026 re-rating of the shares from a sub-1.0 times book multiple to the current 1.44 times. (Sourced and reasoned, as indicated.)

A full moving-average and momentum-indicator study, such as 50-day and 200-day moving averages, relative strength index and moving-average convergence-divergence, requires a continuous, longer-dated daily price series than could be independently verified as open and current at the time of writing; rather than estimate these indicators from an incomplete series, this report relies on the directly sourced price levels and percentage moves above, which are sufficient to characterize the recent technical deterioration from the August 2026 high. (Sourced, with the stated limitation on indicator-level technical analysis.)

C. Financial Statements

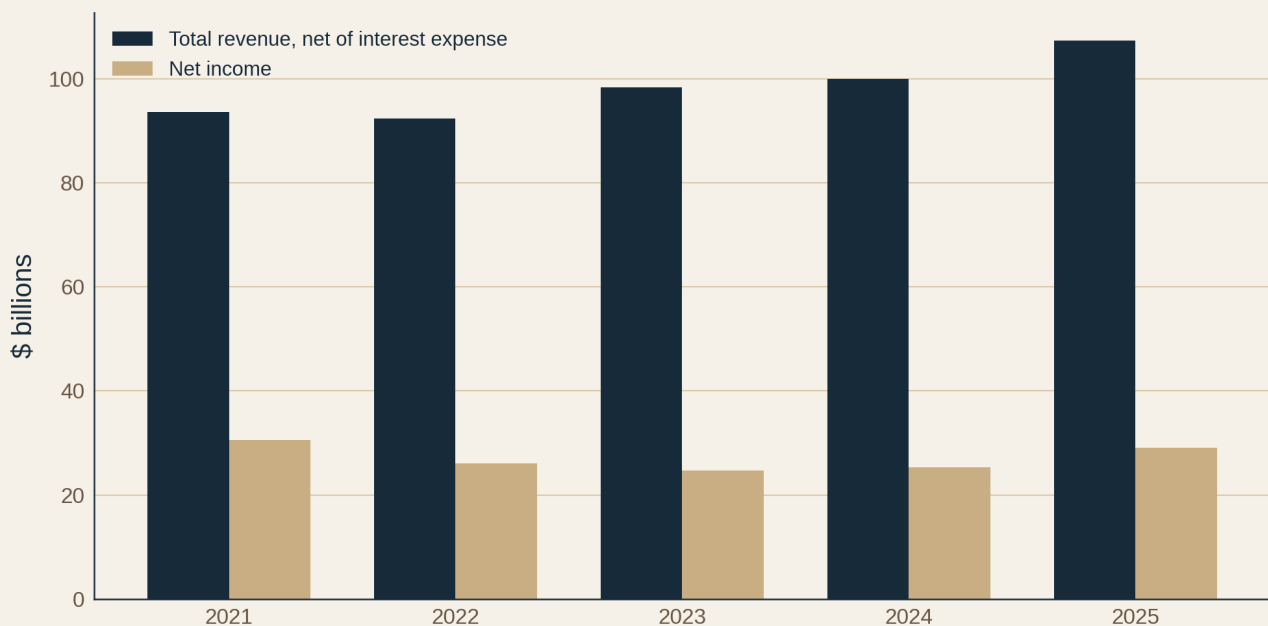
C1. Income Statement

CONSOLIDATED INCOME STATEMENT SUMMARY, FISCAL YEARS 2021 TO 2025 (\$ BILLIONS)

Metric	2021	2022	2023	2024	2025
Total revenue, net of interest expense	93.71	92.41	98.38	100.04	107.42
Net income	30.56	26.02	24.66	25.34	29.06
Diluted earnings per share (\$)	3.57	3.19	3.05	3.19	3.81
Net margin	32.6%	28.2%	25.1%	25.3%	27.1%

Source: StockAnalysis.com income statement data, consistent with company-reported figures.

Revenue and net income, fiscal years 2021 to 2025



Source: StockAnalysis.com income statement data.

Revenue grew at a compound annual rate of approximately 3.5 percent from 2021 to 2025, while net income declined at a compound annual rate of approximately 1.3 percent over the same period, because 2021 net income was unusually elevated by substantial reserve releases as pandemic-era credit loss provisions were reversed industry-wide, a non-recurring benefit rather than an indicator of underlying earnings power. Excluding that distortion, the more informative trend is the recovery from a 2023 to 2024 trough of roughly 24.7 to 25.3 billion dollars in net income back to 29.1 billion dollars in 2025, driven mainly by fee income growth rather than by net interest income. (Sourced figures with a reasoned interpretation of the 2021 distortion, consistent with widely reported industry-wide reserve release dynamics that year.)

Margin trends are best read as improving from a 2023 trough: net margin bottomed at 25.1 percent in 2023 and recovered to 27.1 percent in 2025, driven by operating leverage, positive year over year in the second quarter of 2026 at over 600 basis points, as noninterest expense growth of 8 percent trailed revenue growth of 15 percent. (Sourced: StockAnalysis.com; Macrostream, Q2 2026 review, for the operating leverage figure.)

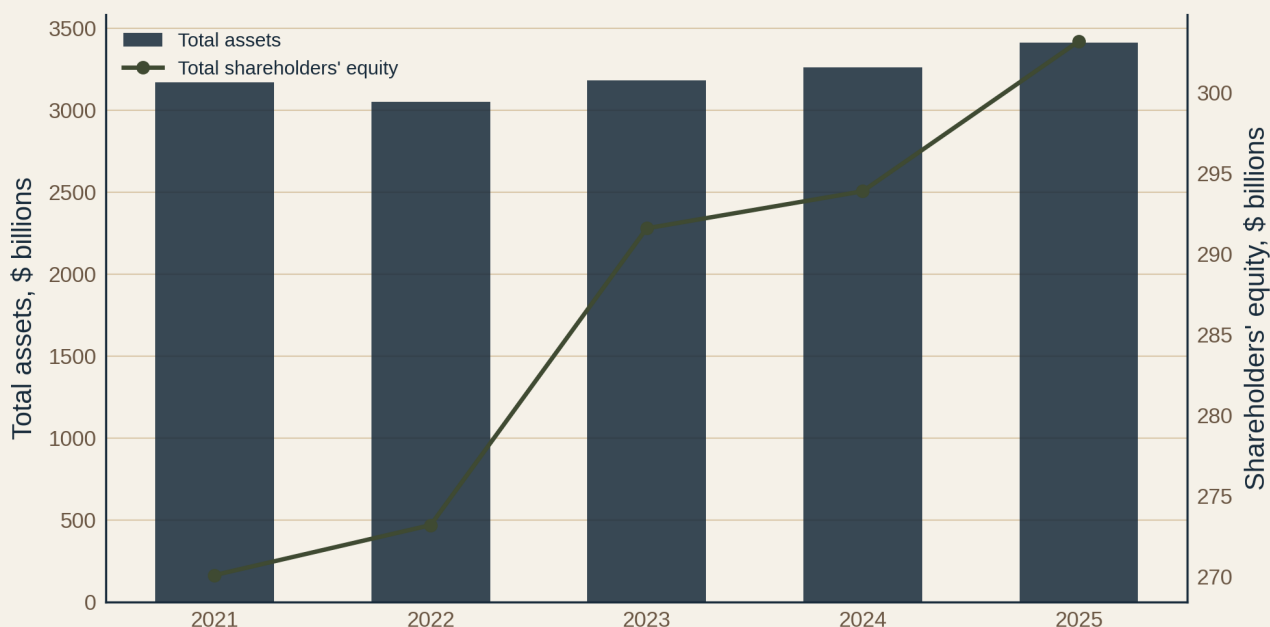
C2. Balance Sheet

BALANCE SHEET SUMMARY, FISCAL YEARS 2021 TO 2025 (\$ BILLIONS)

Metric	2021	2022	2023	2024	2025
Total assets	3,169.5	3,051.4	3,180.2	3,261.3	3,411.7
Total deposits	2,064.4	1,930.3	1,923.8	1,965.5	2,018.7
Total shareholders' equity	270.1	273.2	291.6	293.9	303.2
Book value per share (\$)	30.37	30.61	33.34	35.58	38.44

Source: StockAnalysis.com balance sheet data, consistent with company-reported figures.

Total assets and shareholders' equity



Source: StockAnalysis.com balance sheet data.

Total assets grew from 3.17 trillion dollars in 2021 to 3.41 trillion dollars in 2025, a compound annual growth rate of approximately 1.9 percent, while shareholders' equity grew faster, at approximately 2.9 percent per year, lifting book value per share by 27 percent over the period as the share count was reduced through buybacks. Deposits dipped from their 2021 pandemic-era peak of 2.06 trillion dollars to a 2023 trough of 1.92 trillion dollars, as excess pandemic-era liquidity was drawn down industry-wide, before recovering to 2.02 trillion dollars by 2025. (Sourced figures; growth rates and the pandemic-liquidity interpretation calculated and reasoned by the analyst.)

Balance-sheet strength is supported by a common equity tier 1 ratio of 11.2 percent as of the second quarter of 2026 and a stable-outlook investment-grade rating from all three major agencies. No specific red flags, such as concentrated goodwill impairment risk or deteriorating working-capital trends, a concept not directly applicable to a bank balance sheet, were identified in the sourced disclosures; the principal balance-sheet sensitivity is to unrealized losses on fixed-income securities held for liquidity purposes as interest rates move, a risk common to the industry that is not separately quantified in the sources reviewed for this report. (Sourced and reasoned, with the stated data limitation.)

C3. Cash Flow Statement

Reported operating cash flow for a bank holding company is not a reliable proxy for free cash flow or distributable earnings, because GAAP classifies changes in trading assets and liabilities, loan originations held for sale and other balance-sheet movements within operating activities, producing large swings unrelated to underlying profitability; Bank of America's reported operating cash flow ranged from a negative 8.8 billion dollars in 2024 to a positive 45.0 billion dollars in 2023, a pattern explained by these classification effects rather than by a comparable deterioration or improvement in the underlying business. (Sourced figures; interpretation reasoned, consistent with standard treatment of bank cash flow statements.)

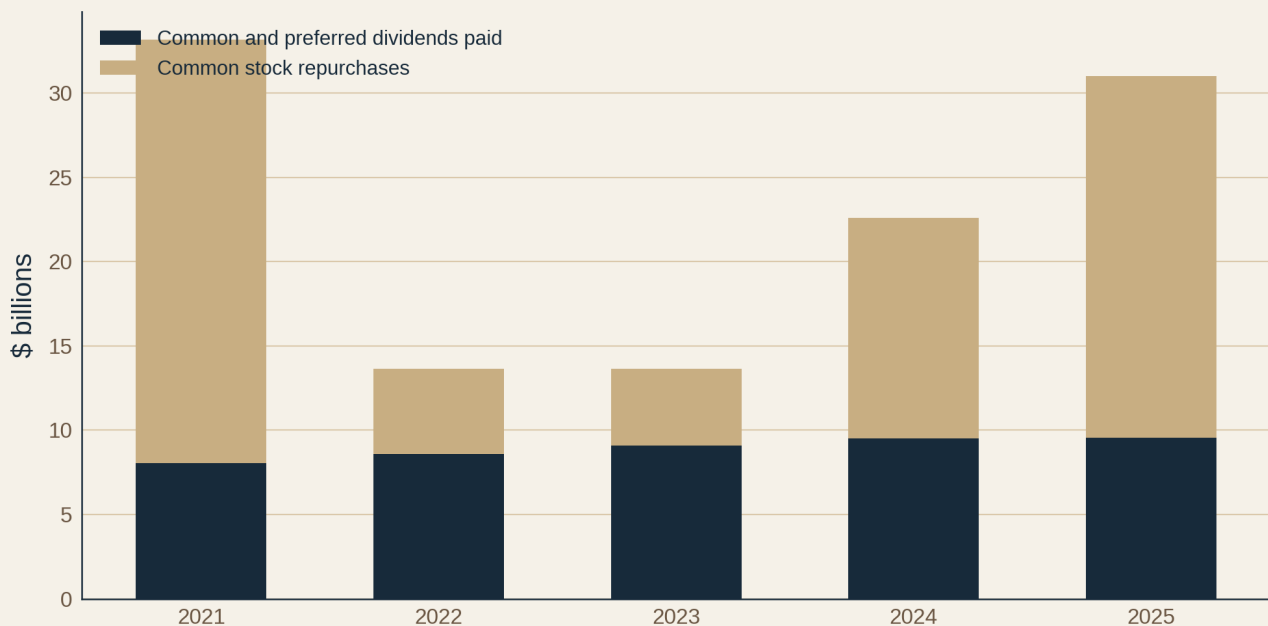
The more informative capital-flow measures for a bank are dividends paid, share repurchases and retained earnings, set out below.

CAPITAL RETURNED TO SHAREHOLDERS, FISCAL YEARS 2021 TO 2025 (\$ BILLIONS)

Metric	2021	2022	2023	2024	2025
Dividends paid	8.06	8.58	9.09	9.50	9.56
Common stock repurchases	25.13	5.07	4.58	13.10	21.43
Total capital returned	33.19	13.65	13.66	22.60	30.99

Source: StockAnalysis.com cash flow statement data. Totals calculated by the analyst.

Dividends and share repurchases



Source: StockAnalysis.com cash flow statement data.

Capital return has been volatile in absolute terms but consistently substantial, ranging from approximately 13.7 billion dollars in the lean years of 2022 and 2023 to approximately 31.0 billion dollars in 2025, a year in which total capital returned exceeded net income of 29.1 billion dollars, implying that book value growth that year came primarily from other comprehensive income and balance-sheet capital management rather than retained net income alone. (Sourced and calculated by the analyst.)

C4. Forecasting and Projections

Revenue. Base-case revenue growth is likely to be driven less by loan volume, which grew only around 1 percent period-end in the second quarter of 2026, than by continued fee income growth in wealth management and capital markets and by a net interest income base that management has guided to grow 6 to 8 percent for the full year 2026. (Sourced: Macrostream, Q2 2026 review, citing company guidance.)

Margins. The efficiency ratio has improved to 59 percent in the second quarter of 2026 from a higher base in prior years; further improvement depends on operating leverage continuing to run positive, meaning revenue growth outpacing expense growth, which itself depends on fee income durability rather than on further headcount or branch reduction alone. (Reasoned.)

Working capital and capital intensity. For a bank, the analogous constraint is regulatory capital rather than working capital or capital expenditure; at an 11.2 percent common equity tier 1 ratio, the bank retains capacity to grow risk-weighted assets or continue substantial buybacks without breaching internal or regulatory minimums, absent a change in those minimums. (Reasoned.)

Scenario analysis

Scenario	Description
Base case	Net interest income grows in the 6 to 8 percent range guided by management for 2026, fee income growth moderates from the exceptional second-quarter 2026 pace but remains positive, the efficiency ratio holds near 58 to 60 percent, and return on average tangible common equity settles in the mid-teens.
Bull case	Capital markets activity remains elevated through 2027, sustaining the trading and investment banking fee growth seen in the second quarter of 2026, credit costs stay low, and return on average tangible common equity approaches the high teens, supporting a re-rating toward the peer-leading multiple.
Bear case	Interest rates fall faster than deposit costs can be repriced, compressing net interest margin below 2.0 percent, capital markets activity normalizes sharply from the second-quarter 2026 pace, and credit costs rise from the current 0.47 percent net charge-off rate, pushing return on average tangible common equity back toward the low double digits and compressing the valuation multiple.

These scenarios are the analyst's own construction, informed by the sourced historical and current data in this report, and are not company guidance except where explicitly noted. (Reasoned.)

C5. Valuation Range

A conventional unlevered discounted cash flow model is not the appropriate primary tool for a bank holding company, because a bank's free cash flow to the firm is not economically meaningful once regulatory capital requirements are taken into account; the standard institutional practice, applied here, is an excess-return framework on tangible book value, in which the sustainable premium to tangible book value is a function of the gap between return on tangible common equity and the cost of equity, divided by the cost of equity minus a long-run growth rate. (Reasoned, consistent with the instruction to avoid mechanically applying tools that are not meaningful for the company under analysis.)

ILLUSTRATIVE TANGIBLE BOOK VALUE MULTIPLE UNDER VARYING ASSUMPTIONS

Assumption set	Sustainable ROTCE	Cost of equity	Long-run growth	Implied price / tangible book (x)
Bear	11%	11%	3%	1.00
Base	14%	10.5%	3%	1.47

Assumption set	Sustainable ROTCE	Cost of equity	Long-run growth	Implied price / tangible book (x)
Bull	17%	10%	3.5%	2.08

Analyst calculation (Reasoned), using the Gordon growth excess-return identity: price to tangible book equals (return on tangible common equity minus growth) divided by (cost of equity minus growth). All inputs are analyst assumptions, not company guidance or consensus estimates, and are intended to bound a plausible range rather than to state a precise intrinsic value.

Applied to the second-quarter 2026 tangible book value per share of 29.37 dollars, this framework implies a valuation range of approximately 29 to 61 dollars per share across the bear and bull assumption sets, with the base case at approximately 43 dollars per share. The report-date price of 56.70 dollars sits between the base and bull cases, consistent with the view developed in section B3 that the market is pricing a level of profitability durability that is plausible but not conservative. This range should be read as an order-of-magnitude bound produced from explicit, disclosed assumptions, not as a precise intrinsic value estimate. (Reasoned; all figures calculated by the analyst from the stated assumptions.)

Sensitivity. The implied multiple is highly sensitive to the cost of equity assumption: holding sustainable return on tangible common equity at 14 percent, reducing the assumed cost of equity from 10.5 to 9.5 percent raises the implied multiple from approximately 1.47 to 1.83 times, illustrating why bank valuations can swing sharply with changes in the market's required return during periods of interest-rate or credit-cycle uncertainty. (Reasoned, calculated by the analyst.)

C6. Leveraged Buyout Analysis

A leveraged buyout framework is not applicable to Bank of America. As a globally systemically important bank holding company, its capital structure is set by regulatory minimum capital and leverage ratios rather than by market-determined optimal leverage, and any change of control above regulatory thresholds would itself require approval from the Federal Reserve and other banking regulators; the economics of a debt-funded acquisition that are standard for an operating company do not transfer to a deposit-funded, regulated financial institution of this scale. (Reasoned, based on the standard regulatory treatment of large bank holding companies.)

D. Investment Thesis

Bull Case

Trading and investment banking fee growth, up 33 and 50 percent respectively year over year in the second quarter of 2026, persists through 2027, net interest income grows toward the upper end of management's 6 to 8 percent guided range, the efficiency ratio falls further below 58 percent, and return on average tangible common equity sustains itself in the high teens, prompting a re-rating of the tangible book multiple toward the 2.0 times level implied by the bull scenario in section C5.

Bear Case

Federal Reserve rate cuts compress net interest margin faster than deposit costs can be lowered, capital markets activity normalizes sharply from the exceptional second-quarter 2026 level, net charge-offs rise from the current 0.47 percent as consumer credit quality softens, and return on average tangible common equity falls back toward the low double digits, compressing the tangible book multiple toward 1.0 times as in the bear scenario in section C5.

Base Case

Net interest income grows within management's guided range, fee income growth moderates from the second-quarter 2026 pace but remains a positive contributor, the efficiency ratio holds in the high 50s, credit costs stay near current levels, and return on average tangible common equity settles in the mid-teens, broadly consistent with the current share price.

Catalysts

- Third and fourth-quarter 2026 earnings releases, which will show whether the second-quarter 2026 fee income strength persisted.
- Federal Reserve policy rate decisions through late 2026 and their effect on net interest margin.
- Further share repurchase execution against the 40 billion dollar authorization.
- Any formal signal on chief executive succession timing, given the newly created co-president structure.
- Developments in the Basel III endgame capital rulemaking process.

Things to Monitor

Metric or event	Why it matters	Positive signal	Negative signal
Net interest margin	Core driver of the largest revenue line	Stable or rising from 2.08%	Further compression below 2.0%
Net charge-off rate	Leading indicator of credit-cycle turn	Holds near 0.47%	Sustained rise above historical average
Efficiency ratio	Signals durability of expense discipline	Holds at or below 59%	Reversion above 62 to 63%
Common equity tier 1 ratio	Determines room for further buybacks	Stable near 11 to 11.5%	Forced increase from regulatory change

Metric or event	Why it matters	Positive signal	Negative signal
Trading and investment banking fees	Principal driver of the 2026 earnings recovery	Growth sustained above prior-cycle levels	Sharp normalization toward 2023 to 2024 levels

E. Final Investment Framework

Business quality	Above average. A diversified, deposit-funded universal bank with a durable, low-cost funding advantage, though structurally second to the leading peer on profitability.
Financial quality	Improving. Profitability and efficiency have strengthened markedly through 2025 and into the second quarter of 2026, from a 2023 to 2024 trough.
Competitive position	Strong on scale, second-tier on returns. Ranks second among United States banks by market capitalization but trails JPMorgan Chase on return on equity.
Management	Stable and shareholder-oriented on capital return, with a long-tenured chief executive and an emerging, still multi-year, succession process.
Industry	Mature and consolidating, currently benefiting from a cyclical upswing in capital markets activity.
Valuation	Reasonable. Trades at a discount to the highest-return peer that is broadly, though not precisely, consistent with the profitability gap between the two institutions.
Technical and market structure	Weakened. Shares have fallen approximately 12.5 percent from their mid-August 2026 high and are testing short-term support near the 56 to 57 dollar level.
Principal risk	A credit-cycle downturn or a faster-than-expected net interest margin compression that reverses the profitability improvement achieved through the second quarter of 2026.
Principal catalyst	Continued fee income growth in trading and investment banking through the remainder of 2026.
Key variable	The durability of return on average tangible common equity at or near the 17.0 percent level reported in the second quarter of 2026.
Thesis invalidation	The investment thesis would become materially weaker if return on average tangible common equity fell back below 12 percent for two or more consecutive quarters, if the common equity tier 1 ratio fell materially below 11 percent, or if net charge-offs rose sustainably above 0.7 percent.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior year	5-year trend
Market	Market capitalization	\$396.5bn	Not Retrieved	Rising with re-rating
Market	Share price	\$56.70	Not Retrieved	Range \$46 to \$65 over 52 weeks
Growth	Revenue growth (FY2025)	7.4%	1.7% (FY2024)	CAGR approx. 3.5% (2021 to 2025)
Profitability	Net margin	27.1%	25.3%	Declined from 32.6% (2021) then recovering
Profitability	Return on average common equity	10.22%	9.21%	Trough 9.2% (2024), recovering to 12.7% (Q2 2026)
Profitability	Return on average tangible common equity	17.0% (Q2 2026)	Not Retrieved	Not Retrieved
Cash Flow	Dividends and repurchases	\$30.99bn (FY2025)	\$22.60bn (FY2024)	Volatile, \$13.7bn to \$33.2bn (2021 to 2025)
Leverage	Common equity tier 1 ratio	11.2%	Not Retrieved	Not Retrieved
Valuation	Price / earnings	13.10x	13.31x (FY2024)	Rose from 10.2x (2022)
Valuation	Price / book	1.44x	1.15x (FY2024)	Rose from 0.97x (2022)
Valuation	Dividend yield	2.26%	2.37% (FY2024)	Range 1.99% to 2.91% (2022 to 2025)
Market	Beta	1.16	Not Retrieved	Not Retrieved
Market	Maximum drawdown, sourced window	-12.5% (12 Aug to 25 Sep 2026)	Not Retrieved	Not Retrieved

Source: StockAnalysis.com and Bank of America second quarter 2026 earnings release, as detailed in the sections above. Entries marked Not Retrieved were not available from the sources reviewed for this report within the sourced comparable period.

G. Sources and Methodology

Primary Sources

Bank of America Corporation

Form 8-K, Exhibit 99.1, Second Quarter 2026 Results Press Release, filed 14 July 2026, U.S. Securities and Exchange Commission EDGAR system.

Used for second-quarter 2026 net income, earnings per share, revenue, net interest income, net interest margin, efficiency ratio, common equity tier 1 ratio, return on average tangible common equity, book value and tangible book value per share, and segment net income.

Bank of America Corporation

Form 10-K, Annual Report for the fiscal year ended 31 December 2025, filed 25 February 2026, U.S. Securities and Exchange Commission EDGAR system.

Used for business segment description, regulatory and supervisory disclosure.

Bank of America Corporation, Investor Relations

Credit Ratings page, accessed September 2026.

Used for current long-term and short-term senior debt ratings from Moody's, S&P Global and Fitch.

Bank of America Newsroom

"Bank of America Increases Common Stock Dividend 8% to \$0.28 Per Share, Authorizes \$40 Billion Stock Repurchase Program", press release, 23 July 2025.

Used for the 2025 dividend increase and share repurchase authorization.

Secondary Sources

Morningstar, via PR Newswire

"Bank of America Increases Common Stock Dividend 14% to \$0.32 Per Share", 24 July 2026.

Used for the July 2026 dividend increase.

The Asian Banker

"Bank of America reports 27% rise in second-quarter net income to \$9.1 billion".

Used to cross-check second-quarter 2026 segment net income and profitability metrics.

Macrostream

"Bank of America Q2 2026 Review: Strong Trading and Investment Banking Revenue, Modest NII Growth".

Used for trading revenue, investment banking fees, operating leverage and full-year net interest income guidance.

Banking Dive

"Bank of America sets up post-Moynihan succession race".

Used for management succession structure and executive roles.

fffinstill

"US Banks Ranked: JPM vs. BAC vs. WFC vs. C on Every Key Metric".

Used for peer comparison of market capitalization, price to earnings, return on equity and net margin.

The Motley Fool

"The Largest Financial Companies by Market Cap in September 2026".

Used to cross-check peer market capitalization.

Wikipedia

"Bank of America".

Used for corporate history and approximate branch and employee counts.

Market Data

StockAnalysis.com

Bank of America (BAC), company overview, income statement, balance sheet, cash flow statement, financial ratios and price history pages.

Used for current price, market capitalization, valuation multiples, beta, five-year income statement, balance sheet and cash flow figures, and the 17 July to 25 September 2026 daily closing price series.

Calculations

Analyst calculations

Revenue and net income compound annual growth rates, dividend and repurchase totals, loan-to-deposit ratio, price to tangible book value, segment net income mix percentages, the excess-return valuation range in section C5, and all percentage changes described as calculated in the text above.

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